RESERVE BANK OF INDIA

Department of Banking Regulation, Central Office, Mumbai

Circular Ref: DBR.No.Leg.BC.78/09.07.005/2017-18 & Master Direction 2026
Subject: Customer Protection — Limiting Liability of Customers in Unauthorised Electronic Banking Transactions
Date: July 6, 2017 (As Updated for Commercial Banks 2026) | **Status:** Mandatory Regulatory Direction

Master Direction on Responsible Business Conduct and Customer Liability Limits in Electronic Payment Systems

1. Framework for Limiting Customer Liability

With increased reliance on electronic and mobile payment systems including UPI, banks must establish systems to limit customer liability in unauthorized electronic transactions. Transactions are categorized under three distinct liability regimes:

Category	Trigger & Reporting Condition	Customer Liability Limit	Bank Obligation & Timelines
Zero Liability	**(a) Contributory Fraud:** Fraud, negligence, or deficiency on the part of the bank (whether reported by customer or not). **(b) Third-Party Breach:** Deficiency lies neither with bank nor customer, and customer notifies bank within **three (3) working days** of receiving communication.	**Zero (■0) Liability** Customer suffers no loss.	Shadow reversal / credit to customer account within **10 working days** of notification.
Limited Liability	**Third-Party Breach with Delayed Reporting:** Deficiency lies elsewhere in the system, and customer reporting delay is within **four (4) to seven (7) working days**.	Capped at: • Basic Savings / UPI: **■5,000** • Regular Savings / Accounts: **■10,000** • Credit Card (limit > ■5L): **■25,000**	Excess amount over the capped liability must be credited within **10 working days**.
Customer Negligence	Customer has shared payment credentials (OTP, UPI PIN, password).	Customer bears **entire loss** until unauthorized transaction is reported to the bank.	Any unauthorized transaction occurring *after* reporting shall be borne 100% by the bank.

2. Mandatory SMS and Email Alerts & Reporting Mechanism

Clause 2.1: Banks must provide mandatory SMS and Email alerts for all debit transactions. The alert must carry an immediate response facility (such as a 24x7 toll-free helpline, direct interactive SMS shortcode, or in-app emergency toggle) allowing customers to instantly report unauthorized transactions and block UPI handles.

Clause 2.2: The date and timestamp of receiving customer notification through any channel shall be recorded as the official reporting timestamp for determining whether the 3-day or 4-7 day liability threshold applies.

3. Reversal Timelines and Dispute Resolution

Clause 3.1 (Shadow Credit within 10 Days): On reporting of an unauthorized electronic transaction, the bank shall credit the customer's account (shadow credit) within ten (10) working days, without awaiting outcome of insurance claim or external investigation.

Clause 3.2 (90-Day Maximum Resolution Time): The overall dispute investigation and final resolution must not exceed ninety (90) calendar days from the date of customer complaint.

Clause 3.3 (Burden of Proof): The burden of proving customer negligence or credential sharing shall solely lie on the bank. In the absence of conclusive audit logs proving negligence, customer entitlement to Zero/Limited liability stands.